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Indo-Japan: Japan's Key Agenda



The article explores the evolving India–Japan strategic partnership, highlighting key areas of cooperation in trade, investment, semiconductors, technology and supply chain resilience. It examines Japan's role in India's development priorities and the importance of strengthening bilateral ties in the Indo-Pacific region.

Indo-Japan: Japan's Key Agenda

Syllabus areas:

GS Paper II – international relations

Japan Prime Minister Sanae Takaichi visited India in July 2026.

India as an indispensable partner of Japan did not mean that China was being given a short shrift or "dumped"; Indo-Pacific open and free, India was a reliable partner.

China is Japan's largest trading partner with two-way trade of around $325 billion, predominantly of high-tech components, machines and consumer items.

On the other hand, India accounts for less than 2% of Japan's total global trade.

Tokyo has been one of India's top investors, spread over automobile, electronics, infra, logistics and finance. There are nearly 1,500 Japanese companies in India operating in a very different environment compared to the restrictive environment of the past.

Recent visit of Donald Trump to China.

India-Japan relationship has significantly matured. Over time, it has evolved from standard bilateral partnership to special strategic partnership and global partnership.

Japan has played a significant role in supporting India's priorities such as energy, transportation and environment.

A key area for progress is the renegotiation of **Comprehensive Economic Partnership Agreement (CEPA).**

CEPA - Comprehensive Economic Partnership Agreement (CEPA): A bilateral agreement between countries that promotes trade and economic cooperation by reducing tariffs and non-tariff barriers, facilitating investment, improving market access and strengthening collaboration in services, technology and other sectors.

Economic Partnership Agreement (CEPA) represents key areas for future Indo-Japan ties:

- Semiconductors represent key areas for future Indo-Japan ties.

- Supply chain resilience.
- India's strength in digital infrastructure and electronics manufacturing complements Japan's expertise.
- Technology and Artificial Intelligence: Robotics, cybersecurity and advanced digital solutions.
- Empowering youth is critical: Increased collaboration between universities, industries and research institutions.
- Indo-Pacific region emerged as the centre of global economic and strategic activities.